

EGERTON



UNIVERSITY

UNIVERSITY EXAMINATIONS

MAIN CAMPUS-NJORO

SECOND SEMESTER, 2024/2025 ACADEMIC YEAR

FIRST YEAR EXAMINATIONS FOR THE DEGREES OF BACHELORS OF ARTS

(GENERAL, ECONOMICS & HISTORY & ECONOMICS & SOCIOLOGY),

BACHELORS OF SCIENCE (ACTUARIAL SCIENCES, AGRIBUSINESS

MANAGEMENT, AGRICULTURAL ECONOMICS, ECONOMICS & STATISTICS) &

BACHELOR OF COMMERCE, BACHELOR OF PROCUREMENT AND BACHELOR

OF ENTREPRENEURSHIP

ECON 121- PRINCIPLES OF MACROECONOMICS

STREAM: BA BSc BCOM BPROC BENT

TIME: 2 HRS

EXAMINATION SESSION: APRIL

YEAR: 2025

INSTRUCTIONS

- i). Answer Question ONE and ANY OTHER TWO questions. You should answer THREE questions in total.
- ii). Question ONE carries 30 Marks and the rest 20 Marks each.
- iii). Do NOT write on the question paper.
- iv). Apart from calculators, all other devices and written materials are not allowed in the examination room.
- v). All personal items MUST be left outside, or in front of the examination room.

QUESTION ONE**(30 MARKS)**

- a) Give five distinctions between microeconomics and macroeconomics. **(5 MARKS)**
- b) Define the following terminologies as used in national income accounting.
- i. Gross Domestic Product. **(1 Mark)**
 - ii. Gross National Product. **(1 Mark)**
 - iii. Net National Product. **(1 Mark)**
 - iv. Transfer Income. **(1 Mark)**
 - v. Per capita income. **(1 Mark)**
 - vi. Capital Consumption Allowance **(1 Mark)**
- c) Given the following income (Y), consumption (C), and Savings (S) schedule (in Kenya Shillings):

Y	C	S	ΔY	ΔC	ΔS	MPC	MPS
0	100	-100	-	-	-	-	-
100	180	-80	100	80	20	0.8	0.2
200	260	-60	100	80	20	0.8	0.2
300	310	-10	100	80	20	0.8	0.2
400	420	-20	100	80	20	0.8	0.2
500	500	0	100	80	20	0.8	0.2
600	580	20	100	80	20	0.8	0.2
700	660	40	100	80	20	0.8	0.2
800	740	60	100	80	20	0.8	0.2
900	820	80	100	80	20	0.8	0.2
1000	900	100	100	80	30	0.8	0.2

- i). Calculate and interpret the Marginal Propensity to Consume (MPC), and derive the consumption function. **(3 Marks)**
- ii). Calculate and interpret, the Marginal Propensity to Save (MPS), and derive the savings function. **(3 Marks)**

- d) Outline five uses of national income statistics. **(5 Marks)**
- e) Explain five challenges encountered in the computation of national income. **(5 Marks)**
- f) Explain any three determinants of consumption. **(3 Marks)**

QUESTION TWO**(20 MARKS)**

Suppose that the following data is of Kenya's national income model:

(Figures in billions of KES)

$$C = 1,000 + 0.75Y^d$$

$$Y = 1,900$$

$$G = 2,500$$

$$I = 1,500$$

$$X = 3,000$$

$$M = 4,000$$

$$Y^d = Y - T$$

- a) Solve for the equilibrium national output. **(9 Marks)**
- b) What is the state of the government budget? **(2 Marks)**
- c) What is the state of the balance of trade? **(2 Marks)**
- d) What is the effect of a fall in investment by RES. 200 billion, on the equilibrium national income? **(3 Marks)**
- e) From the model above, explain FOUR ways of growing the economy, or reducing unemployment in the country. **(4 Marks)**

QUESTION THREE**(20 MARKS)**

- a) State five functions of money. **(5 Marks)**
- b) Outline five functions of the Central Bank of Kenya. **(5 Marks)**
- c) Explain the three motives for holding money according to Keynes. **(6 Marks)**
- d) Explain how open market operations can be used to control inflation. **(4 Marks)**

QUESTION FOUR**(20 MARKS)**

- a) Identify five types of unemployment **(5 Marks)**
- b) List five consequences of unemployment. **(5 Marks)**
- c) Outline five causes of inflation **(5 Marks)**
- d) Highlight five effects of inflation **(5 Marks)**

QUESTION FIVE**(20 MARKS)**

- a) The following information is the GNP account of a hypothetical country.

Item	Amount
Gross National Product	1500
Gross Investment	200
Net Investment	60
Consumption	1000
Government Expenditure	300
National Income	1200
Wages and Salaries	900
Proprietors' incomes and rental incomes of persons	110
Net interest	60
Government Budget Surplus	-20
Personal Interest Payments	0
Undistributed Corporate Profits	-20
Valuation adjustments	-20
Business Transfer Payments	0
Personal Transfers to Foreigners	0

Using the above information, calculate the following:

- i). Capital Consumption Allowance (2 Marks)
- ii). Net National Product (2 Marks)
- iii). Indirect taxes (2 Marks)
- iv). Disposable income (2 Marks)
- v). Net exports (2 Marks)
- b) List three institutions in Kenya for accessing credit (3 Marks)
- c) Explain four determinants of savings in Kenya (4 Marks)
- d) Illustrating using a diagram, describe the circular flow of income in a closed economy with government participation (3 Marks)
